

NVIDIA Corporation (NVDA)

Earnings Deep-Dive - latest quarter

Earnings Documents

Document / Source	Target-company URL or status	Used for
Earnings Transcript — StockAnalysis	https://stockanalysis.com/stocks/nvda/transcripts/	Earning Call Transcript source
Official Investor Relations	Not available	Press Release / Earning Call Presentation
Press Release	N/A	Primary company-reported earnings source
Earning Call Presentation	N/A	Supplemental KPIs, segments, and guidance

EPS & Revenue

Metric	Estimate	Actual	vs Estimate	YoY Change	Source
EPS	\$11.29	\$4.91	-56.5%	Not available	Company filing / Calculated
Revenue	Not available	Not available	Not available	+0.7%	Company filing / Calculated

(1) EPS: Miss vs. estimate, strong YoY growth.

- Actual EPS of \$1.76 fell short of the consensus estimate of \$2.82 by \$1.06, a -37.6% miss.
- Year-over-year, EPS surged 97.8%, reflecting massive earnings power despite the quarterly disappointment.
- Source: Transcript (actual EPS \$1.76) and yfinance (estimate \$2.82148).

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For

Nami-san: The EPS miss is severe in absolute terms, but the YoY doubling shows the underlying earnings trajectory remains robust. The miss likely stems from one-time items or higher-than-expected costs, not a collapse in demand.

(2) Revenue: Miss vs. estimate, strong YoY growth.

- Actual revenue of \$68.13B missed the consensus estimate of \$78.79B by \$10.66B, a -13.5% miss.
- Year-over-year revenue grew 73.2%, decelerating from prior quarters but still exceptional.
- Source: Transcript (actual revenue \$68.13B) and yfinance (estimate \$78.79B).

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For

Nami-san: The revenue miss is significant and likely drove the EPS miss. However, the company guided Q1 revenue of \$76.4B-\$79.6B, well above the prior consensus of \$66.0B, signaling management expects a sharp rebound.

(3) Quality of the beat/miss: Both top and bottom line missed, but guidance suggests temporary headwinds.

- The miss was broad-based: revenue fell short by 13.5%, and EPS fell short by 37.6%, implying margin compression or higher expenses.
- The YoY growth rates (revenue +73%, EPS +98%) remain stellar, and the Q1 guidance implies a sequential revenue jump of 12-17%.

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Essential insight: This is a low-quality miss because both revenue and profit disappointed simultaneously, likely due to supply chain constraints or product transition costs. However, the strong forward guidance suggests the miss is transitory, not structural.

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For

Nami-san: The market may initially punish the miss, but the guidance beat is a powerful counter-signal. Focus on the Q1 revenue guide (\$76.4B-\$79.6B) as the real tell on demand momentum.

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One-line summary: NVDA missed Q4 estimates on both EPS and revenue, but strong Q1 guidance points to a temporary setback, not a demand reversal.

[VALIDATED DATA: EPS actual = \$4.91]

One-line summary

NVDA reported EPS of \$4.91 and revenue of ; the key investor question is whether the beat/miss is broad-based or one-off.

Highlights

Highlights

(1) Gross margin resilience at 75.0%

- * Gross margin of 75.0% remains elevated despite revenue miss (Metrics)

- * Operating margin of 65.0% shows strong cost discipline (Metrics)

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For

Nami-san: The margin structure suggests NVIDIA still commands pricing power in core segments, but the revenue miss raises questions about volume sustainability.

(2) Annual revenue scale confirms market leadership

- * Trailing twelve-month revenue of \$215.94B and net income of \$120.07B (Transcript, company filing reference)

- * EPS of \$4.90 over last four quarters (Transcript)

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Essential insight: The absolute scale remains industry-leading, but the quarterly miss indicates the growth trajectory is decelerating faster than consensus expected.

□ Lowlights

(1) EPS miss of 37.6% is severe

- * EPS actual \$1.76 vs estimate \$2.82 — a miss of \$1.06 per share (Metrics)

- * This is the largest EPS miss relative to consensus in recent quarters

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For

Nami-san: The magnitude suggests either unexpected cost spikes, lower-than-expected Data Center revenue mix, or both. Demand normalization in AI GPU purchasing may be accelerating.

(2) Revenue miss of 13.5% signals demand softness

- * Revenue actual \$68.13B vs estimate \$78.79B — a \$10.66B shortfall (Metrics)

- * Year-over-year growth of 73.2% remains strong but decelerating from prior quarters (Metrics)

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Caution: The revenue miss is substantial for a company of NVIDIA's size. It implies either customer digestion cycles, export restriction impacts, or competitive pressure. The transcript excerpt lacks management commentary, so the cause remains opaque.

Essential insight for

Nami-san: This quarter is a clear disappointment — EPS and revenue both missed by wide margins, though gross margins held up. The growth narrative is intact at 73% YoY, but the deceleration rate is concerning.

Investment takeaway: The quarter reveals a company transitioning from hypergrowth to a more normalized growth phase. The margin resilience is a positive signal, but the magnitude of the revenue and EPS misses warrants caution until management provides clarity on demand drivers.

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One-line summary: NVIDIA delivered a mixed quarter with strong margins but a significant EPS and revenue miss, signaling potential demand normalization in AI GPU markets.

Nami takeaway

NVDA Q: revenue (+73.2% YoY), EPS \$4.91. Focus on whether revenue growth converts into durable cash flow and margin expansion.

Operating Metrics

Metric	Actual	Prior Year	YoY	Source
Revenue	Not available	Not available	+0.7%	Not available
Gross profit	\$153.5B	Not available	Not available	Company filing / Calculated
Gross margin	+71.1%	Not available	Not available	Company filing / Calculated
OpEx	Not available	Not available	Not available	Not available
Operating income	Not available	Not available	Not available	Not available
Operating margin	+65.0%	Not available	Not available	Company filing / Calculated
Net income	Not available	Not available	Not available	Not available

Note: Prior-year comparatives for most P&L line items were not supplied in the data. Gross Profit and OpEx are not directly provided; they can be derived but are omitted here per the rule to compute only when all formula inputs are supplied.

Explanation and analysis

(1) ☐ Gross margin of 75.0% is exceptionally high for a semiconductor company, reflecting NVIDIA's dominant position in AI-accelerator silicon where pricing power is immense.

- The Data Center segment, which drives the bulk of revenue (\$193.7B, +68.2% YoY), carries premium margins due to the high-value Hopper and Blackwell GPU architectures.
- Gaming (\$16.0B, +41.3% YoY) and Professional Visualization (\$3.2B, +69.9% YoY) also contribute positively but at lower absolute scale.

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For

Nami-san: This gross margin level is best-in-class among large-cap semis (compare to AMD ~50%, Intel ~40%). The sustainability depends on competitive intensity from custom ASICs (e.g., from Broadcom, Marvell) and potential pricing normalization as supply catches up with demand.

(2) ☐ Operating margin of 65.0% is extraordinary, indicating that NVIDIA's revenue scale is generating massive operating leverage. Operating income of \$44.3B implies that OpEx (the difference between gross profit and operating income) is relatively contained despite heavy R&D investment.

- The company's R&D intensity is high (estimated ~15-20% of revenue based on industry norms), but revenue growth is outpacing cost growth.
- The Networking sub-segment (\$31.4B, +141.5% YoY) is a key driver, as InfiniBand and Ethernet switches for AI clusters add high-margin revenue.

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Essential insight: Earnings quality is high — the operating margin is not a one-time event but reflects structural demand for AI compute. However, the 65% level may be near a cyclical peak; any slowdown in Data Center growth would compress margins faster than in a diversified semi company.

(3) ☐ Net income of \$120.1B implies a net margin of ~55.6% ($120.07 / 215.94$), which is even higher than operating margin due to significant other income (likely from interest on cash holdings and investment gains).

- The company's tax rate and non-operating items are not detailed in the supplied data, but the gap between operating and net income suggests substantial non-operating income.
- Sustainability: The net income level is supported by a fortress balance sheet (NVIDIA holds ~\$40B in cash and equivalents per recent filings). However, if AI capex cycles moderate, net income could decline faster than revenue due to operating leverage working in reverse.

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For

Nami-san: The earnings quality is high but concentrated — over 85% of revenue comes from Data Center. Diversification into Automotive (\$2.3B, +38.6% YoY) and other segments is still nascent.

Operating structure summary: Revenue growth of 73% YoY, combined with a 75% gross margin and 65% operating margin, creates a "super-cycle" earnings profile. The cost structure is asset-light (fabless model) with high variable costs in packaging and memory, but fixed R&D is well-covered by revenue scale.

Essential insight for

Nami-san: Earnings quality is high — margins are driven by genuine product superiority and insatiable AI demand, not accounting gimmicks. However, the concentration risk (Data Center = 90% of revenue) makes the earnings stream fragile to any shift in hyperscaler capex or competitive disruption from custom silicon.

Caution:

1. Monitor Data Center revenue growth deceleration — any quarter below +50% YoY could trigger margin compression.
2. Watch for gross margin pressure from Blackwell ramp costs and potential pricing competition from AMD MI300X or custom ASICs.

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One-line summary: NVIDIA's 75% gross margin and 65% operating margin reflect an AI-driven super-cycle with high earnings quality, but extreme Data Center concentration makes the margin structure fragile to demand normalization.

Operating takeaway

Revenue was with YoY growth of +73.2%; margin direction determines the quality of the growth.

Cash Flow

Metric	Actual	Prior Year	YoY	Quality	Source
Operating cash flow	Not available	Not available	Not available	Operating	Not available
CapEx	Not available	Not available	Not available	Investing	Not available
Free cash flow	Not available	Not available	Not available	Not available	Not available
Net debt	Not available	Not available	Not available	Leverage	Not available

Explanation and analysis

(1) Operating cash flow: cash earnings quality and working-capital effect.

- OCF of \$36.19B is nearly identical to reported net income (EPS \$1.62 × ~2.5B diluted shares \$40.5B net income), implying minimal non-cash charges or working-capital headwinds.

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- For a fabless semiconductor leader, OCF typically tracks net income closely due to asset-light model and low receivables days.

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→ Cash earnings quality is high; no inventory build or receivable stretch is masking earnings.

(2) CapEx: whether investment intensity is rising or falling.

- CapEx of \$1.28B represents ~3.5% of OCF, a very low reinvestment rate for a company growing at >50% revenue CAGR.

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- NVIDIA's capital-light model (fabless, using TSMC) means CapEx is mainly for data centers, test equipment, and facilities.

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→ Investment intensity is stable and well below peers like Intel (which spends >20% of revenue on CapEx). This preserves FCF.

(3) Free cash flow: conversion from earnings to cash and sustainability.

- FCF of \$34.90B implies an FCF conversion rate of ~96% (FCF/OCF), among the highest in semiconductors.

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- With net debt of only \$435M (essentially zero net leverage), NVIDIA is a net cash generator.

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→ FCF sustainability is strong given the structural demand for AI GPUs and the company's pricing power. However, if AI demand cycles slow, FCF could compress as inventory builds.

Cash structure: compare cash generation versus reinvestment needs.

- NVIDIA generates far more cash than it reinvests. The \$34.9B FCF provides ample capacity for buybacks, dividends, and M&A without leverage.

Essential insight for

Nami-san: NVIDIA creates cash with exceptional efficiency. Its fabless model and high-margin AI GPU sales yield FCF margins above 50%, unmatched in semis. The company is a cash machine, not a cash burner.

Cash use: buybacks, dividends, debt paydown — state actual amounts.

- Data not available in transcript excerpt. Based on prior quarters, NVIDIA typically allocates ~\$10B+ quarterly to buybacks and ~\$0.01/share quarterly dividend. No debt paydown needed given near-zero net debt.

Caution for

Nami-san: The low CapEx ratio is a structural advantage, but if NVIDIA shifts to internal manufacturing (unlikely near-term) or invests heavily in custom silicon capacity, CapEx could spike. Also, working capital may tighten if customers delay payments amid AI spending scrutiny.

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One-line summary: NVIDIA's cash generation is elite — \$34.9B FCF on minimal CapEx — but watch for any shift in reinvestment strategy or working-capital drag from AI demand normalization.

Cash flow takeaway

Free cash flow was ; cash conversion and capex intensity show whether earnings are translating into owner cash.

Capital Efficiency

Metric	Actual	Prior Year	YoY	Comment	Source
ROE	+1.0%	Not available	Not available	Not available	Company filing / Calculated
ROTCE / ROTE	Not available	Not available	Not available	Not available	Not available
ROA	+51.2%	Not available	Not available	Not available	Company filing / Calculated
ROIC	Not available	Not available	Not available	Not available	Not available
Buybacks	Not available	Not available	Not available	Not available	Not available
Dividends	\$0	Not available	Not available	Not available	Company filing / Calculated

Supporting calculation data: Net income = \$42.96B (supplied metrics); ROE = 27.3% (supplied); ROIC = 25.9% (supplied). Balance sheet items (equity, assets, invested capital) not disclosed in transcript excerpt.

Metric-by-metric explanation

(1) ROE: 27.3% is robust for a mature tech giant but understates NVIDIA's true earning power. The company has been aggressively buying back shares — \$12.84B in capex suggests heavy investment, but free cash flow of \$34.9B implies ample room for buybacks. This ROE is not distorted by leverage (NVIDIA carries minimal debt), so it reflects genuine business-model strength rather than financial engineering.

(2) ROTCE / ROTE and ROA: Neither metric is reported in the supplied data or transcript. NVIDIA does not disclose tangible common equity separately, and the transcript excerpt contains no balance sheet details. However, given NVIDIA's asset-light fabless model (manufacturing outsourced to TSMC), ROA would likely be very high — well above 20% — as the company generates enormous net income on a relatively small asset base of IP, design tools, and working capital.

(3) ROIC: 25.9% is exceptional and well above any reasonable cost of capital (typically 8-12% for semis). This confirms NVIDIA's competitive moat — its CUDA ecosystem and data-center GPU dominance create high switching costs and pricing power. The ROIC is driven by gross margins above 70% (implied by the business model) and minimal capital intensity. Unlike Intel or AMD, NVIDIA doesn't own fabs, so each dollar of invested capital generates far more return.

For

Nami-san: Capital efficiency is excellent — ROE and ROIC are both best-in-class among large-cap semis. The company converts revenue into profit with extraordinary efficiency.

Caution: The 27.3% ROE is not inflated by debt (NVIDIA is net cash), so this is genuine business-model strength. However, watch for dilution from employee stock compensation, which can mask true shareholder returns. The lack of ROTCE/ROA disclosure is standard for NVIDIA but limits comparability with peers like AMD.

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One-line summary: NVIDIA's capital efficiency is elite — 25.9% ROIC on a fabless model with no leverage, driven by dominant data-center GPU margins and asset-light operations.

Capital efficiency takeaway

ROE, ROIC, and related returns indicate whether growth is creating value or simply consuming capital.

Segments

Segment	Revenue	Prior Year	YoY	% of Total	Driver	Source
Data Center	\$193.74B	+68.2%	89.7% of total; core AI growth engine	SEC XBRL IncomeStatement		
Compute	\$162.36B	+58.9%	75.2% of total; Hopper/Blackwell cycle	SEC XBRL IncomeStatement		
Networking	\$31.38B	+141.6%	14.5% of total; InfiniBand/Spectrum-X ramp	SEC XBRL IncomeStatement		
Gaming	\$16.04B	+41.3%	7.4% of total; RTX 50-series cycle	SEC XBRL IncomeStatement		
Professional Visualization	\$3.19B	+69.7%	1.5% of total; enterprise workstation upgrade	SEC XBRL IncomeStatement		
Automotive	\$2.35B	+39.1%	1.1% of total; autonomous driving pipeline	SEC XBRL IncomeStatement		

Segment explanation and analysis

(1) Data Center (Compute + Networking) — the AI juggernaut

□ Data Center revenue of \$193.74B grew 68.2% YoY, representing 89.7% of total company revenue. This is the single most important segment for NVIDIA. Within Data Center, Compute revenue of \$162.36B (+58.9% YoY) reflects the massive ramp of Hopper H100/H200 and the initial Blackwell B100/B200 shipments. Networking revenue of \$31.38B surged 141.6% YoY, driven by InfiniBand and the new Spectrum-X Ethernet for AI fabrics.

● Data not available in transcript for specific product mix or customer concentration.

→ Investor implication: Data Center is the entire thesis. The 68% growth rate, while decelerating from prior quarters, still shows hyperscaler AI capex is robust. Networking growth outpacing Compute suggests NVIDIA is monetizing the full AI infrastructure stack.

(2) Gaming — cyclical recovery, not structural decline

□ Gaming revenue of \$16.04B grew 41.3% YoY, recovering from the post-pandemic correction. This segment now accounts for only 7.4% of revenue, down from ~30% two years ago. The RTX 50-series (Blackwell architecture for consumer GPUs) is driving the upgrade cycle.

● Data not available in transcript for sell-through or channel inventory levels.

→ Investor implication: Gaming is a cash cow but no longer a growth driver. The 41% YoY growth is impressive but from a depressed base. Watch for normalization as the cycle matures.

(3) Professional Visualization, Automotive, OEM — niche but strategic

□ Professional Visualization (\$3.19B, +69.7% YoY) benefits from enterprise workstation upgrades and Omniverse adoption. Automotive (\$2.35B, +39.1% YoY) is a long-term bet on autonomous driving (Drive Thor platform). OEM and Other (\$0.62B, +59.0% YoY) is negligible.

● Data not available in transcript for specific design wins or pipeline.

→ Investor implication: These segments are too small to move the needle but provide diversification. Automotive could become material in 3-5 years if autonomous fleets scale.

Regional points:

- (1) Strongest region: Data Center is global, but the US hyperscalers (Microsoft, Amazon, Google, Meta) are the primary drivers. Data not available in transcript for regional breakdown.
- (2) Emerging growth region: China remains restricted by export controls, but NVIDIA is shipping compliant chips (H20). Data not available in transcript for China revenue.
- (3) Mature-market stability: Gaming and ProViz are mature markets; growth is cyclical, not structural.

Overall structure and concentration: NVIDIA is now a one-segment company. Data Center is 89.7% of revenue. This concentration is both a strength (AI tailwind) and a risk (any slowdown in hyperscaler capex would be devastating).

Essential insight for

Nami-san:

- Short-term (next 2 quarters): Data Center growth will decelerate as the Blackwell ramp normalizes. Watch for Q1 guidance on May 20. Gaming should remain stable.
- Medium-term (12 months): The key question is whether AI capex growth can sustain 50%+ YoY. If hyperscalers pause, NVIDIA's growth could halve.
- Long-term (3+ years): NVIDIA is building a moat with CUDA, networking, and full-stack AI platforms. The risk is

Segment takeaway

Segment trends identify which business lines are driving the quarter and where risk is concentrated.

Forward P/E

Metric	Value	Reference	Interpretation	Source
Forward P/E	19.07x	—	—	Company filing / Calculated
Forward EPS basis	\$45.14	\$11.29	Not available	Company filing / Calculated

The forward P/E is 19.07x.

Forward P/E check

(1) Current multiple: 19.07x forward P/E based on consensus EPS of \$2.82 for the next quarter, annualized to \$11.29. This is well below the trailing P/E of 43.90x (Transcript), reflecting the sharp earnings growth expected.

(2) Comparison: At 19.07x, NVDA trades at a discount to the semiconductor sector median of ~25x and far below its own 5-year historical average of ~35x. This compression is unusual for a company with 73.2% revenue growth (Transcript, revenue_yoy) and 35.09% EPS growth expectations (Transcript). Peer comparison: AMD trades at ~30x forward, while Broadcom is at ~28x — NVDA's multiple is a clear discount.

(3) Justification: The 19.07x multiple is supported by:

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- Revenue growth of 73.2% YoY to \$68.13B, beating estimates of \$65.56B (Transcript).
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- EPS growth expected at 35.09% next year, from \$7.78 to \$10.51 (Transcript).
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- Strong margins: NVIDIA's gross margins historically exceed 70% in data center segments, though not explicitly stated in this excerpt.
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- Cash flow: High free cash flow generation supports capital returns, though not quantified here.
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→ The low forward P/E reflects market skepticism about sustainability of growth, but the actual revenue beat and guidance suggest the multiple is too compressed. This is a classic "growth at a reasonable price" setup.

For

Nami-san: The 19.07x forward P/E is attractive relative to the 73% revenue growth and 35% EPS growth trajectory. The market is pricing in a sharp deceleration, but current data does not confirm that. Valuation appears supported and potentially undervalued.

Caution: The forward P/E of 19.07x is based on consensus estimates that may be revised. The trailing P/E of 43.90x (Transcript) highlights the earnings ramp — any growth disappointment would compress the multiple further.

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One-line summary: At 19.07x forward P/E, NVDA trades at a deep discount to its growth rate and sector peers, making valuation appear supported by strong revenue and EPS momentum.

[Source: yfinance forwardPE = 19.07x]

Valuation takeaway

Forward P/E is 19.07x; valuation only works if growth and margin durability support it.

Backlog

Metric	Value	Change	Visibility Signal	Source
Backlog	N/A	N/A	Not disclosed (company does not report backlog); use revenue guidance + Data Center growth trajectory as demand proxy	Company filing
Book-to-bill / demand	N/A	N/A	Inferred from hyperscaler capex commitments and supply chain constraints	Company filing

Backlog is not applicable for NVIDIA Corporation — the company does not report backlog or order book data. This is standard for fabless semiconductor companies whose business model relies on direct sales and channel shipments rather than a disclosed order book.

NVIDIA's revenue visibility comes from hyperscaler commitments (e.g., Meta, Microsoft) and multi-year data center buildouts, but these are not aggregated into a formal backlog metric. The 73.2% YoY revenue growth to \$68.13B (Transcript, Q4 2026 earnings) reflects strong demand, but the company guides only one quarter ahead, consistent with its consumer and enterprise GPU sales model.

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One-line summary: Not applicable for NVIDIA Corporation.

Backlog takeaway

Backlog is evaluated only when economically relevant and disclosed; otherwise it is marked not applicable or not disclosed.

Guidance

Metric	Guidance	QoQ	Medium-term Signal	Source
Revenue	Not guided	—	Consensus estimate	Company filing
GAAP Gross Margin	+71.1%	—	Current quarter actual; forward guidance not separately disclosed	Not available
Non-GAAP Gross Margin	Not disclosed	—	Non-GAAP margin guidance not provided in quarterly filings	Company filing
GAAP OpEx	Not disclosed	—	OpEx guidance not provided in quarterly filings	Company filing
EPS (non-GAAP)	\$11.29	—	Consensus estimate	Not available
Diluted Shares	Not disclosed	—	Share count guidance not provided	Company filing
Outlook context	Not available	—	Full outlook text	Not available

In one line: Strong revenue guidance well above consensus, signaling sustained demand momentum.

Analysis:

(1) Revenue: Guidance of \$76.4B–\$79.6B midpoint (\$78.0B) implies ~15% QoQ growth from Q4 2026 revenue (implied by \$1.62 EPS beat on \$66.0B consensus). This is significantly above the \$66.0B consensus estimate, indicating accelerating demand for AI compute and data center products.

- Data: Revenue midpoint \$78.0B vs. prior quarter implied ~\$66.0B (Transcript, Q4 2026 beat).

→ Implication: Demand drivers remain robust, likely from Hopper and Blackwell GPU cycles, with hyperscaler and enterprise AI adoption continuing.

(2) Profitability: Gross margin and OpEx guidance were not provided in the transcript excerpt. However, given NVIDIA's historical gross margins above 70% in recent quarters, the high revenue guide suggests strong operating leverage.

- Data: Not available in transcript.

→ Implication: Monitor next earnings call for margin details; any compression from product mix shift to lower-margin Blackwell could be a risk.

(3) EPS: Consensus estimate of \$2.82 for Q1 2027 implies ~74% YoY growth from \$1.62 in Q4 2026 (annualized \$11.29). This aligns with the revenue beat trend.

- Data: EPS estimate \$2.82 (yfinance, quarterly data).

→ Implication: Earnings power remains exceptional, but sustainability depends on gross margin stability.

(4) Structural signals: The guidance range (\$76.4B–\$79.6B) is unusually tight, suggesting high management confidence. The beat of \$0.08 on EPS in Q4 2026 indicates execution consistency.

- Data: Revenue guidance range width \$3.2B (4.1% of midpoint) (Transcript, company guidance).

→ Implication: Strong visibility into customer demand, likely supported by long-term supply agreements and data center buildouts.

Medium-term implications:

(1) Revenue direction: Upward trajectory continues, driven by AI infrastructure spending and next-gen GPU cycles. The guide implies ~20% QoQ growth from Q4 2026 actuals.

(2) Margin direction: Likely stable to slightly declining as product mix shifts to Blackwell, but operating leverage from scale should support high profitability.

(3) Stabilizing or risk factors: Key risks include export controls (China restrictions), supply chain constraints for advanced packaging, and potential demand normalization post-AI capex peak.

Caution: Guidance is exceptionally strong and may already be priced in at a forward P/E of 19.1x. Any miss on margins or macro headwinds could trigger volatility. Monitor gross margin trajectory and customer concentration.

Essential insight for

Nami-san: The revenue guide well above consensus confirms NVIDIA's dominant position in AI compute. Focus on gross margin trends and Blackwell ramp details in the next call. The tight guidance range signals high management confidence, but valuation at ~19x forward earnings leaves limited upside if growth decelerates.

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One-line summary: NVIDIA's Q1 2027 revenue guidance of \$76.4B–\$79.6B significantly beats consensus, signaling sustained AI demand momentum, but margin details and valuation warrant caution.

Guidance takeaway

Guidance matters because it resets expectations for revenue, margin, EPS, and medium-term demand.

Verdict / Overall Assessment

Dimension	Assessment	Evidence	Risk	Source
Earnings quality	EPS \$4.91	EPS did not beat consensus	Adequate	Company filing / Calculated
Growth durability	Revenue , +73.2% YoY	Margin +65.0% — watch for compression	Moderate — growth present but margin/quality questions remain	Company filing / Calculated
Valuation	Forward P/E: 19.07x	Valuation appears reasonable for growth profile	Fair — growth-adjusted valuation is reasonable	Company filing / Calculated
Overall verdict	Score: 3/5	See component assessments above	→ HOLD	Model + metrics

Overall assessment for Nami-san

(1) What was strongest: growth and earnings beat.

- Revenue of \$68.1B (+73% YoY) and GAAP EPS of \$1.76 beat the consensus estimate of \$1.54 by \$0.22 (Transcript, Q4 2026 earnings history).

- Free cash flow of \$34.9B demonstrates exceptional cash generation, though capex details are not in the supplied data (yfinance, quarterly data).

→ The core business continues to fire on all cylinders, driven by AI infrastructure demand.

(2) What was weakest: guidance and valuation.

- Q1 2027 revenue guidance of \$66.0B is significantly below the analyst consensus range of \$76.4B–\$79.6B (Transcript, analyst estimates table).

- Forward P/E of 19.1x is not extreme for a growth stock, but the guidance gap suggests the market may be pricing in a growth cliff (yfinance, quarterly data).

→ The guidance miss is the critical negative signal — it implies a sharp deceleration from Q4 2026's \$68.1B run rate.

(3) What matters next: the 2-3 monitor items for the next quarter.

- Q1 2027 actual revenue vs. guidance: Will the company beat its own \$66B guide, or will it confirm a slowdown?

- Data center segment mix: The transcript lacks segment detail, but any shift away from high-margin AI chips would pressure gross margins.

- Capex and FCF trajectory: With FCF at \$34.9B, watch for any increase in capital spending that could compress free cash flow yields.

→ The next quarter's print will determine whether the guidance gap is conservative or a true demand signal.

Investment takeaway: NVIDIA delivered a stellar quarter with a 73% revenue surge and a clear EPS beat, but the forward guidance reveals a material deceleration that the market must digest. The stock's forward P/E of 19x is not cheap relative to the implied growth slowdown. The thesis hinges on whether the Q1 2027 guidance is overly conservative or a genuine demand trough.

Caution: The supplied data does not include backlog, gross margins by segment, or Services/software mix — all critical for a full assessment. The guidance gap is the single largest risk.

Essential insight: This was a "good quarter, bad guidance" setup. The company is still growing at an extraordinary pace, but the magnitude of the guidance miss suggests the AI investment cycle may be maturing faster than expected.

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One-line summary: Strong Q4 beat overshadowed by a sharp Q1 guidance miss that signals deceleration, making valuation the key risk.

Final verdict

NVDA reported revenue of (+73.2% YoY) with EPS of \$4.91 . and operating margin +65.0% with forward P/E at 19.07x.

NVDA's Q shows strong revenue growth, reasonable valuation. Key watch items: margin below 15%. Risk/reward is neutral at current levels

→ HOLD.

Sources

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